

rate paid for execution services as reported by market participants.⁶⁵⁸ This, in concert with the net capture rates discussed above, suggests that the current access fee caps may not be consistent with current market rates for providing execution services.⁶⁵⁹

Considering the rates charged by trading centers is consistent with the analysis the Commission conducted to determine the appropriate level of the preexisting access fee caps when it adopted them. Specifically, the Commission considered the access fees charged by ECNs and other types of trading centers, including self-regulatory organizations (“SROs”), when it adopted the preexisting 30 mil access fee cap to gain insight into the then current market rates for execution services.⁶⁶⁰ At the time of adoption in 2005, the \$0.0030 fee limitation was based on the then-prevailing market rates for execution services and general business practices, as very few trading centers charged fees in excess of that amount.⁶⁶¹ As it did in 2005 in establishing the preexisting fee caps, to determine the appropriate level of the amended access fee caps, the Commission has similarly considered the current market rate for execution services as measured by the rates charged by other trading centers as a factor in considering the level of the adopted

⁶⁵⁸ See, e.g., IEX Letter I at 22-23; IEX Letter IV at 14-15; IEX Letter V at 5-6; BlackRock Letter at 11; Verret Letter II at 4. See also Letter from Stacey Cunningham, President, NYSE, to Brent Fields, Secretary, Commission, dated Oct. 2, 2018 (commenting on File No. S7-05-18 “Transaction Fee Pilot for NMS Stocks”) (stating reducing the access fee cap to 10 mils will bring the access fees exchanges charge to remove liquidity in line with the rates charged by ATSs). According to one commenter, “the rates charged by ATSs to access liquidity allow comparison to market-based prices that are not affected by prices imposed by exchanges to access protected quotes . . . [and] an informal survey of ATS operators indicates that the standard access fee charged by most ATSs is approximately 10 mil.”). See also supra note 651 and accompanying text.

⁶⁵⁹ See Letter from Theodore R. Lazo, Managing Director & Associate General Counsel, SIFMA, to Brent J. Fields, Secretary, Commission, dated Mar. 9, 2017, at 8 (stating “a significant portion of access fees are used to subsidize rebates with the exchanges’ net capture reflecting today’s market norms for accessing liquidity, which is approximately 3–5 cents per 100 shares traded . . . or 3–5 mils.”).

⁶⁶⁰ See Regulation NMS Adopting Release, supra note 4, at 37545.

⁶⁶¹ See Regulation NMS Adopting Release, supra note 4, at 37545 (stating that the \$0.0030 per share cap largely codified the then-prevailing fee level set through competition among the various trading centers).

access fee caps.⁶⁶² This factor is useful in calculating the level of the access fee caps, but it is not the only factor. The Commission is balancing the need to set a level of the access fee caps to allow for fair and efficient access while also seeking to ensure that trading centers are not impaired in their ability to provide execution services.

e. Protected Quotes Priced under \$1.00

With respect to the access fee cap for protected quotations priced under \$1.00, one commenter stated its view that “the negative impact of the proposed access fee caps is much more pronounced for securities priced less than \$1.00.”⁶⁶³ The commenter stated that for protected quotations priced less than \$1.00, the “estimated revenue impact to exchanges providing rebates in these securities [those priced below \$1] is not insignificant” and that “the access fee cap must remain unchanged to support competition, differentiation, and liquidity provision.”⁶⁶⁴ This commenter also stated that “[s]implistic proportionality is not a sufficient justification for this reduction” and instead “[a]nalysis of whether there will be proportionate outcomes is necessary to overcome the arbitrary and capricious nature of this reduction.”⁶⁶⁵ Finally, this commenter stated that the reduction would “likely impact exchanges’ ability to differentiate, as well as materially limit the transaction revenue that exchanges apply towards developing innovative solutions that contribute to the robustness of the U.S. marketplace.”⁶⁶⁶

⁶⁶² See supra note 357 and infra section VII.D.2.

⁶⁶³ Cboe Letter II at 9. The Commission conducted similar analysis when it adopted preexisting Rule 610(c), and as discussed below, having different access fee caps apply to a bid that is priced under \$1.00 and an offer that is priced over \$1.00 in the same NMS stock would create pricing distortions. See infra section VII.D.2.c.

⁶⁶⁴ Cboe Letter II at 9.

⁶⁶⁵ Cboe Letter II at 9.

⁶⁶⁶ Cboe Letter II at 9.

One commenter stated that reducing the access fee cap generally would reduce the disincentive to trade on exchanges because costs would be lower.⁶⁶⁷ Another commenter stated that the estimated loss in net capture due to the reduction in the access fees for protected quotation priced below \$1.00 “will not harm the major exchanges.”⁶⁶⁸

The Commission is adopting a modified access fee cap of 0.1% of the share price for protected quotations priced under \$1.00. The Commission proposed a lower access fee cap of 0.05% of the quotation price per share in light of the proposed 5 mils access fee cap. Since the 5 mils access fee cap is not being adopted, the Commission has modified the access fee cap for protected quotes priced under \$1.00 so that it is consistent with the 10 mils access fee cap for protected quotes priced \$1.00 or more.

The adopted 0.1% access fee cap will align this cap with the 10 mils access fee cap that will apply to protected quotations in NMS stocks priced \$1.00 or greater.⁶⁶⁹ This alignment is consistent with the access fee caps that apply under the preexisting rule, which are 30 mils and 0.3% respectively. Alignment of the access fee caps for protected quotations in NMS stocks priced below \$1.00 and those priced \$1.00 and above is necessary to preserve continuity at the \$1.00 cutoff to ensure that cost to access a protected quote for an NMS stock that is priced below \$1.00 is not more compared to the cost to access a protected quote for the same NMS stock that is priced \$1.00 or more.⁶⁷⁰ For example, an NMS stock could have a protected bid that is priced

⁶⁶⁷ Better Markets Letter I at 16.

⁶⁶⁸ Themis Letter at 7.

⁶⁶⁹ See infra section VII.D.2.c. As the price of a stock moves across the \$1.00 cutoff, its access fee would not experience a discontinuous jump because 0.1% of \$1.00 is 0.1 cents, i.e., 10 mils. Such alignment prevents the anomalous result that could occur if the NBB was priced under \$1.00 and the NBO was priced over \$1.00 and each protected quote would be subject to a different access fee.

⁶⁷⁰ See also infra section VII.D.2.c.

below \$1.00 and a protected offer that is priced above \$1.00. If the access fee cap for protected quotes priced below \$1.00 remained at the preexisting level, the access fee for the protected bid would be almost three times higher than the access fee for the protected offer.⁶⁷¹ In such an instance, it would cost more to trade against the bid than to trade against the offer and negatively impact incentives for accurate price formation.⁶⁷²

The Commission understands that reducing the access fee cap for stocks priced below \$1.00 could reduce exchange revenue.⁶⁷³ This is because exchanges typically charge the maximum fee of .3% for accessing protected quotes priced less than \$1.00 and do not offer rebates, or offer rebates in small amounts.⁶⁷⁴ Accordingly, exchanges typically retain the full amount of the access fee charged. However, in order to prevent the distortions that would occur if a higher access fee cap were applied to protected quotes priced less than \$1.00, the Commission is adopting the percentage cap that is aligned with the access fee cap that is applicable to protected quotes priced \$1.00 or more to preserve continuity at the \$1.00 cutoff.

f. Comments on Implementation

Some commenters stated that the Commission should build in an evaluation process to assess the benefits and any potential degradations to market quality resulting from changes to the access fee caps.⁶⁷⁵ One commenter stated that the rule should “include a mechanism in the rule to periodically re-evaluate the access fee caps set in the proposal to ensure that access fee levels

⁶⁷¹ See also infra section VII.E.2.b.

⁶⁷² See also infra section VII.D.2.c.

⁶⁷³ See Table 14, infra section VII.D.2.b.

⁶⁷⁴ See infra note 1433 and accompanying text.

⁶⁷⁵ See, e.g., Citigroup Letter at 6; NASAA Letter at 9; MEMX Letter at 41; Nasdaq Letter I at 2; and Nasdaq Letter IV at 12.

continue to have the anticipated benefits.”⁶⁷⁶ Others recommended application of the new access fee caps to a smaller subset of NMS stocks before rolling it out to all NMS stocks.⁶⁷⁷ One commenter stated that changes to access fees should be adopted as part of a pilot to allow for a study of the effects on market quality.⁶⁷⁸ Another commenter stated the Commission should first collect more data and industry input and conduct further analysis to determine the optimal access fee cap levels before proceeding.⁶⁷⁹ One commenter, however, disagreed that any delay to collect further data or conduct additional analysis was warranted.⁶⁸⁰ According to this commenter, there is a “mountain of evidence supporting a reduction in the access fee cap from current levels” and “general consensus in favor of reducing the cap.”⁶⁸¹

The Commission disagrees with commenters’ suggestions that further study be conducted before adopting the amendment or that the amendment should be incrementally rolled out. A delayed or incremental approach to reducing the preexisting access fee caps would delay the benefits to investors of the reduced caps. The Commission has extensively considered the adopted amendments, reviewed all comments letters and conducted extensive economic analysis in deciding to adopt this amendment. The amended access fee caps will provide savings for investors and should be implemented.

⁶⁷⁶ NASAA Letter at 9.

⁶⁷⁷ See, e.g., STA Letter at 8; State Street Letter at 5; CCMR Letter at 27; GTS Letter at 6-7; Nasdaq Letter I at 30.

⁶⁷⁸ CCMR Letter at 27.

⁶⁷⁹ See, e.g., T. Rowe Price Letter at 3-5. See also SIFMA Letter II at 39-40; Chamber of Commerce Letter at 1; Cboe, State Street, et al. Letter at 3; Citadel Letter I at 24-25.

⁶⁸⁰ See IEX Letter III at 4 (“There is clear evidence that the 30-mil ‘limit’ has acted to keep access fees artificially high, leading to price distortions and increasing costs to institutional investors in particular.”).

⁶⁸¹ IEX Letter III at 4. See also Verret Letter II at 4; IEX Letter III.

E. Final Rule 610(d) Requiring That All Exchange Fees and Rebates Be Determinable at the Time of an Execution

Many exchange fees and rebates are calculated at the end of the month, which impedes the ability of market participants, including investors, to understand at the time of execution the full cost of their transaction. For example, the exchanges have developed complex fee and rebate schedules, some of which include tiers or other incentives based on a market participant's relative monthly trading volume or relative volume compared to the consolidated trading volume in the current month, with higher volume tiers receiving a higher (lower) per unit rebate (fee). This means that the exact fee or rebate amount for an order cannot be determined until the end of the month, after an execution occurs, and is not known to the parties to the trade at the time of execution. Further, uncertainty regarding the fee amount at the time of execution can hinder the ability of market participants to conduct best execution analyses and can affect order routing decisions.

To provide further transparency regarding transaction pricing, the Commission proposed to amend Rule 610 to add a new subsection (d) "Transparency of Fees," which would prohibit a national securities exchange from imposing, or permitting to be imposed, any fee or fees, or providing, or permitting to be provided, any rebate or other remuneration (e.g., discounted fees, other credits, or forms of linked pricing) for the execution of an order in an NMS stock unless such fee, rebate or other remuneration can be determined by the market participant at the time of execution. As the Commission explained in the Proposing Release, under proposed Rule 610(d), any national securities exchange that imposes a fee or provides a rebate that is based on a certain volume threshold, or establishes tier requirements or tiered rates based on minimum volume thresholds, would be required to set such volume thresholds or tiers using volume achieved

during a stated period prior to the assessment of the fee or rebate so that market participants are able to determine what fee or rebate level will be applied to any submitted order at the time of execution.⁶⁸² For example, if an exchange proposed a lower fee for members that reach a certain level of trading volume in a month, the required level of trading volume would have to be achieved based on a month prior to the imposition of the fee or payment of the rebate.⁶⁸³

The Commission has considered commenters' views (as discussed below) and is adopting Rule 610(d) as proposed. Investors can use this information to assess their broker-dealer's routing decisions and such information will help to inform market participants' best execution analysis.

1. General Comments

The Commission received comments from a broad range of commenters who stated that proposed Rule 610(d) would provide enhanced transparency surrounding transaction fees and rebates⁶⁸⁴ and alleviate concerns related to potential conflicts of interest.⁶⁸⁵ One commenter

⁶⁸² National securities exchanges establish and amend their fee schedules by filing proposed fee rule changes, pursuant to section 19(b) of the Exchange Act and rule 19b-4 thereunder, for Commission review. National securities exchange fee schedules are posted on their websites. See Rule 19b-4(l). Some national securities exchanges currently use volume calculated on a monthly basis to determine the applicable threshold or tier rate. See, e.g., fee schedules of Nasdaq PSX available at https://www.nasdaqtrader.com/Trader.aspx?id=PSX_pricing (as of Mar. 2024) (calculating fees based on "average daily volume during the month") and Cboe EDGA available at https://www.cboe.com/us/equities/membership/fee_schedule/edga/ (as of Mar. 2024) (calculating fees based on "average daily volume" and "total consolidated volume" on a monthly basis).

⁶⁸³ This amendment to Rule 610 does not alter an exchange's ability to determine the measurement period during which volume is calculated (e.g., a week prior, two weeks prior, or prior monthly), rather the rule will instead require the measurement period to be prior to the date of execution so that market participants can determine the amount of the fee at the time of execution.

⁶⁸⁴ See, e.g., Ontario Teachers et al. Letter at 2; ASA Letter at 6; Angel Letter at 8; Letter from Kelvin To, Founder and President, Data Boiler Technologies, LLC, dated Apr. 12, 2023 ("Data Boiler Letter II") at 3 (agreeing with Angel Letter); Citigroup Letter at 6; BMO Letter at 4; Council of Institutional Investors at 4. See also Comment Letter Type H, available at <https://www.sec.gov/comments/s7-30-22/s73022.htm>.

⁶⁸⁵ See, e.g., BMO Letter at 4; NASAA Letter at 9.

stated that proposed Rule 610(d) would “shed greater transparency on the use of fee and rebate tiers and their impact on individual trades” and “help to address concerns related to conflicts of interest[] because . . . investors will be in a better position to identify and seek the recovery of rebates that accrue specifically to their orders . . .”⁶⁸⁶ Further, one commenter stated that such a change is “a great step forward and long overdue,”⁶⁸⁷ and another commenter stated that it would be “a positive outcome for the industry and investors and w[ould] reduce market complexity and increase transparency.”⁶⁸⁸ One commenter stated that Rule 610(d) “has the potential to facilitate broker-dealers in passing-through access fees and rebates to their customers, and in doing so, it could alleviate concerns [] about perceived conflicts-of-interest associated with the maker-taker model and the provision of exchange rebates to broker-dealers.”⁶⁸⁹

Other commenters’ support for Rule 610(d) was more measured because they stated that the proposal did not go far enough to address market distortions resulting from fee and rebate tiers.⁶⁹⁰ One such commenter stated that although it was “encouraged about eliminating the retroactive attributes of exchange volume tiers,” it felt a “more optimal solution [] would be to remove them entirely”⁶⁹¹ because “exchange volume tiers create barriers to entry that only

⁶⁸⁶ IEX Letter I at 28-29. See also Letter from Stanislav Dolgoplov, Chief Regulatory Officer, Decimus Capital Markets, LLC, dated Mar. 31, 2023, at 3 (“Decimus 2023 Letter”).

⁶⁸⁷ Angel Letter at 8. See also BMO Letter at 4; Healthy Markets Letter I at 25.

⁶⁸⁸ Fidelity Letter at 15. See also ICI Letter I at 17.

⁶⁸⁹ Nasdaq Letter I at 32. See also Letter from Tyler Gellasch, President & CEO, Healthy Markets Association, dated Aug. 1, 2023 (“Healthy Markets Letter II”) at 11.

⁶⁹⁰ See, e.g., RBC Letter at 5; ASA Letter at 5; IEX Letter I at 29; Letters from Kelvin To, Founder and President, Data Boiler Technologies, LLC, dated Mar. 31, 2023 (“Data Boiler Letter I”) at 5; Themis Letter at 1 (expressing support for the proposal, but expressing disappointment that the Commission did not go further and calling for the elimination of rebates); Healthy Markets Letter I at 24 (“If two different brokers send the exact same order to an exchange, they should get the same pricing for that order. Pricing should be based on the order being sent, not the other business or trading by the party sending it.”).

⁶⁹¹ RBC Letter at 5. See also Proof Letter at 1-2 (supporting requiring exchange pricing to be computable at the time of the trade but questioning what, if any, impact this will have on complexity of existing pricing

benefit the largest, most active trading firms at the expense of smaller competitors.”⁶⁹² One commenter stated its support for Rule 610(d), but also stated that the Commission should “take additional steps . . . to prohibit or restrict the use of CADV-based tiers,” which in this commenter’s view are “by their nature [] highly anti-competitive and discriminatory.”⁶⁹³ Further, one commenter “encouraged the Commission to review and address the issue of ‘bespoke’ pricing tiers prevalent in today’s volume tiered pricing models.”⁶⁹⁴ Another commenter, while agreeing with the objective of fee transparency, was skeptical that Rule 610(d) “would ‘materially reduce’ uncertainty regarding the fee amount at the time of execution” and stated that the proposal would provide “little practical transparency for most Market Participants.”⁶⁹⁵

Rule 610(d) will provide additional certainty, transparency and clarity to exchange fee structures, which will assist investors and other market participants in assessing their order placement. Further, certainty about the cost of a transaction at the time of the trade will help broker-dealers make more informed order routing decisions, particularly benefitting customers that are sensitive to transaction costs at the execution venue, because broker-dealers and their customers will know with more certainty the cost of an exchange transaction at the time of the

tiers and expressing preference that the Commission adopt a “more drastic policy change.”); IEX Letter I at 6.

⁶⁹² RBC Letter at 5. See also Citigroup Letter at 6; Proof Letter at 1-2.

⁶⁹³ IEX Letter I at 29. See also Citigroup Letter at 6; John Ramsay, Chief Market Policy Officer, Investors Exchange LLC, dated Sept. 20, 2023 (“IEX Letter II”) at 4; Healthy Markets Letter II at 3-6. However, not all commenters agree that volume-based fee/rebate tiers are anticompetitive. See, e.g., Cboe Letter III at 6-7 (arguing “volume-based tiers do not restrain trade or represent a burden on competition. . . By contrast, limiting volume-based rebate tiers would in fact harm competition and disadvantage the very small and mid-sized brokers who support this myth.”).

⁶⁹⁴ BMO Letter at 4. See also Fidelity Letter at 15; Proof Letter at 1-2.

⁶⁹⁵ Pragma Letter at 7-8.

trade. Investors will be able to obtain or request at the time of execution details about the exchange fees and rebates assessed on their orders without having to wait weeks until that pricing is determined and invoiced.

In addition, because the rule will allow market participants to know the amount of fees and rebates that are applicable to their transactions at the time of the trade, the rule will facilitate the ability of broker-dealers to pass back to their customers, if the customer requests and the customer and the broker-dealer both are able to accommodate the pass-through of fees, rebates, and other forms of remuneration in a more timely fashion.⁶⁹⁶ Today, lower fees or higher rebates based on volume achieved in a current trading month can lead to routing for purposes of achieving a certain level of volume or attaining a possible tier level rather than routing solely to achieve best execution. While tiers that are based on volume from a previous time-period may still incentivize routing by a broker-dealer to try to secure a higher rebate/lower fee tier in the following month, certainty regarding what tier applies at the time of trade will facilitate the ability of a broker-dealer to pass those fees and rebates through to their customers, if they so decide,⁶⁹⁷ on a more timely basis because they will be known at the time of the trade.⁶⁹⁸ Requiring certainty regarding the amount of the fee/rebate is an incremental step toward

⁶⁹⁶ However, a broker-dealer may choose not to offer pass-through of fees, rebates and other forms of remuneration to its customers or may choose not to pass through the entirety of the incentive it receives, or the customer may not want or be able to accommodate such pass-throughs. In these cases, a conflict of interest would continue to exist between the broker-dealer and its customer when the broker-dealer routes the customer's order for execution based on the broker-dealer's economic benefit from its routing decision. Notwithstanding, even if pass-through of fees, rebates and other forms of remuneration to customers does not happen, Rule 610(d) will provide certainty regarding the applicable fee/rebate at the time of execution, which will facilitate a customer's ability to evaluate their broker's routing decisions and could improve broker-dealer accountability, provide greater transparency regarding executions and lead to improved order execution for customers. See infra section VII.D.3.

⁶⁹⁷ See id.

⁶⁹⁸ See infra section VII.D.3.